

# **Northwind Industrial - Global Procurement Policy v4.2**

## **1. Purpose and Scope**

This policy governs the purchase of direct and indirect materials by all Northwind Industrial business units.

Effective date: 2026-01-01. It applies to every purchase order issued from an approved ERP system.

## **4. Approval Thresholds**

4.1 Purchase orders up to USD 10,000 may be released by a Buyer.

4.2 Purchase orders above USD 50,000 require approval from a Procurement Manager or above before release to the supplier.

4.3 Purchase orders above USD 250,000 additionally require approval from the Chief Financial Officer.

4.4 AI-generated purchase recommendations are drafts. They must never be released without the approvals in this section.

## **5. Expedited Orders**

5.1 Expedited orders are permitted when projected days of cover fall below the supplier lead time.

5.2 The expedite premium must not exceed 12% of the standard unit price.

5.3 Air freight for expedited orders requires Logistics Manager sign-off when freight cost exceeds USD 5,000.

## **6. Supplier Diversification**

6.1 No critical SKU may rely on a single supplier for more than 70% of annual volume.

6.2 A qualified secondary supplier must be maintained for all Power Systems components.